

## 29-2a The Fed's Organization

The Federal Reserve was created in 1913 after a series of bank failures in 1907 convinced Congress that the United States needed a central bank to ensure the health of the nation's banking system. Today, the Fed is run by its Board of Governors, which has up to seven members appointed by the president and confirmed by the Senate. The governors have 14-year terms. Just as federal judges are given lifetime appointments to insulate them from politics, Fed governors are given long terms to give them independence from short-term political pressures when they formulate monetary policy.

Among the members of the Board of Governors, the most important is the chair. The chair directs the Fed staff, presides over board meetings, and testifies regularly about Fed policy in front of congressional committees. The president appoints the chair to a 4-year term. As this book was going to press, the chair of the Fed was Jerome Powell, who was nominated to the job by President Donald Trump in 2017.

The Federal Reserve System consists of the Federal Reserve Board in Washington, D.C., and 12 regional Federal Reserve Banks located in major cities around the country. The presidents of the regional banks are chosen by each bank's board of directors, whose members are typically drawn from the region's banking and business community.

The Fed has two related jobs. The first is to regulate banks and ensure the health of the banking system. In particular, the Fed monitors each bank's financial condition and facilitates bank transactions by clearing checks. It also acts as a bank's bank. That is, the Fed makes loans to banks when banks themselves want to borrow. When financially troubled banks find themselves short of cash, the Fed acts as a *lender of last resort*—a lender to those who cannot borrow anywhere else—to maintain stability in the overall banking system.

The Fed's second job is to control the quantity of money that is made available in the economy, called the [money supply \(the quantity of money available in the economy\)](#). Decisions by policymakers concerning the money supply constitute [monetary policy \(the setting of the money supply by policymakers in the central bank\)](#). At the Federal Reserve, monetary policy is made by the Federal Open Market Committee (FOMC). The FOMC meets about every six weeks in Washington, D.C., to discuss the condition of the economy and consider changes in monetary policy.

